Unit 1

1. Introduction to AI

Module 1.7

1.7 AI as a Service (AIaaS)

Tutorial 1.7.1

1.7.1 Contracts for AI as a Service

AI-1.7.1 K2 Explain the concept of AI as a Service (AIaaS).

Contracts for AI as a Service

- Contracts for AI as a Service (AIaaS) are essential for defining the relationship between providers and clients when delivering AI capabilities via the cloud.
- These agreements go beyond traditional tech contracts by addressing the unique risks and responsibilities of AI systems.
- Key Elements of an AIaaS Contract are:

Clause	Purpose
Scope of Services	Defines what AI services will be delivered (e.g., NLP, predictive analytics)
Performance Metrics	Includes SLAs for uptime, model accuracy, response time
Intellectual Property	Clarifies ownership of training data, models, and AI-generated outputs
Data Privacy & Security	Specifies how data is handled, stored, and protected
Liability & Indemnification	Addresses risks from AI errors or misuse
Ethical Use & Compliance	Ensures alignment with regulations and ethical standards
Payment Terms	Details fees, milestones, and payment schedules
Termination Clauses	Outlines conditions for ending the agreement

Contracts for AI as a Service

Why These Contracts Matter

- Prevents scope creep and misaligned expectations
- Protects IP rights and sensitive data
- Ensures accountability for AI decisions
- Builds trust between provider and client

THANK YOU!!!